

Consolidation

Cheat Sheet



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Consolidation under resistance

Sellers get exhausted (there is only certain amount of times sellers can sell) and demand is getting higher therefore price breaks upwards.

When price consolidates under resistance this is bullish. There are only so many times sellers can hold up a level before they become exhausted. One must always of course way out the pros and cons of each position (is the market also bullish or bearish), as it could also be a low risk short, but generally in an uptrend this should break through resistance.



Explained in Contenders Consolidation and I how trade it stream on 3. 7. 2019 (29:18)



Resistance is broken, and then flipped into support for another long trade.



Consolidation above support counter argument

Consolidation above support gives you an amazing very low risk long entry. This does not mean one should blindly buy, there has to be confluence (trend, fibs etc).



The argument that consolidation above resistance is bearish is valid in that one can expect a support level to only have a certain amount of buyers before buyers exhaust and the level break but one always must remain vigilant as when price consolidates above support it offers a low risk long, or if price consolidates below resistance it offers a low risk short.

Always look for a higher time frame bias, or another technical tool for confluence before entering a trade.



CONTENDERS
10



Explained in Contenders Consolidation and how I trade it stream on 3. 7. 2019 (34:52)



Consolidation under resistance

BTCUSD 5/2019



Consolidation led to breakout, levels were extremely well respected.



Explained in Contenders Consolidation and I how trade it stream on 3. 7. 2019 (31:54)